A. EXECUTIVE SUMMARY

EXECUTIVE SUMMARY

A. Highlights of Financial Information

Presented below are the financial position and sources of funds, appropriations and obligations of the Municipality for the years 2014 and 2013:

a. The LGU's Assets, Liabilities and Government Equity is presented as follows:

	2014	2013	Increase (Decrease)
Assets	84,879,778.46	71,675,834.59	13,203,943.87
Liabilities	17,968,731.92	5,485,666.77	12,483,065.15
Government Equity	66,911,046.54	66,190,167.82	720,878.72

b. Income and Expenses

Income	92,751,500.80	81,299,326.47	11,452,174.33
Expenses	87,886,361.08	72,645,334.92	15,241,026.16

c. Appropriations/Obligation

Appropriations	103,221,191.86	83,850,018.51	19,371,173.35
Obligations	87,054,552.11	79,686,246.82	7,368,305.29

The Municipality's assets, liabilities and equity increased by ₱13,203,943.87, P12,483,065.15and P720,878.72 respectively.

Total income amounted to 92,751,500.80 for the year which is 11,452,174.33higher than last year's total income amountedto 81,299,326.47. A total amount of 103,221,191.86 was appropriated during the year of which 87,054,552.11 was obligated.

B. Operational Highlights

The major accomplishments of the Municipality in CY 2014 are the following:

20% Development Fund	**Targets**	**Accomplishments**	**% of Completion**
Core Shelter Project	200,000.00	200,000.00	100%
Concreting of Municipal and Barangay Road	1,000,000.00	985,732.70	99%
Improvement of Municipal and Brgy Road	1,500,000.00	1,366,796.04	91.12%
Construction and Land Dev't of LPM Phase V	2,600,000.00	2,553,604.05	98.22
Construction of Drainage and Network at LPM	1,200,000.00	1,149,626.56	96%

Development of New Cemetery	1,000,000.00	44,522.56	4%
Construction of Apartment Type Niches @ Old Cemetery	300,000.00	293,795.64	99%
Improvement of Lasam Abattoir	300,000.00	8,900.00	3%
Rehabilitation/Improvement of FMR	3,000,000.00	3,000,000.00	100%
Development of Lasam Town Center	3,700,000.00	697,766.85	19%
Counterpart to Grassroots BUB Projects	1,600,000.00	565,689.11	35%

C. Scope of Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipal Government of Lasam for the year ended December 31, 2014. The audit consisted of the review of operating procedures, inspections of projects, interview of concerned officials and employees, verification, reconciliation and analysis of accounts and such other procedures considered necessary.

D. Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the Financial Statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at P62,359,135.38 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to conduct physical inventory of all properties and absence of property and equipment ledger cards maintained.

E. Significant Findings and Recommendations

The findings and recommendations were discussed with LGU officials and management comments were incorporated in the report, where appropriate. The most significant findings and recommendations are as follows:

1. Collections totaling P1,173,535.20 were not deposited intact and regularly with the authorized depository bank contrary to Section 28 of COA Circular No. 92-382 dated July 3, 1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002.

   For proper management of cash collections of the Local Government Unit and to avoid loss or misappropriation of government funds, we recommended that:

   a. The Municipal Treasurer deposit intact all her collections as well as collections turned over to her by the collectors with authorized depository bank daily or not later than the next banking day pursuant Section 28 of COA Circular No. 92-382 dated July 3,1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002.

b. Require all collectors to remit their collections daily to the Municipal Treasurer.
c. Advise all collectors to comply strictly with the provisions of Section 26 of COA Circular No. 92-382 dated July 3,1992 and Section 29 of COA Circular 2002-003 dated June 20, 2002.

2. Cash Advances for various expenses of several officials and employees of the municipality were granted in violation of Section 89 of Presidential Decree No. 1445, and COA Circular 97-002 dated February 10, 1997.

   We recommended that the Municipal Accountant revisit and review Section 89 of Presidential Decree No. 1445, and COA Circular 97-002 dated February 10, 1997 and implement strictly the provision of the above mentioned rules and regulations.

3. Cash Advances granted for travels and other specific purpose amounting to P409,682.00 remained unliquidated as of December 31, 2014 contrary to Section 89 of P.D. 1445 and COA Circular No. 97-002 dated February 10, 1997.

   We recommend that the Accounting Department follow strictly the provisions of Section 89 of P.D. 1445 and COA Circular No. 97-002 dated February 10, 1997. Require the Accountable Officers to settle immediately their cash advances to avoid withholding of salaries.

4. Special Education Fund (SEF) amounting to P664,442.20 were released to the different schools without prepared Budget as determined and approved by the Local School Board in violation of Sections 272 of RA 7160. Likewise, the release of the said fund was not supported with sufficient documents contrary to Section 4(6) of Presidential Decree (PD) No. 1445.

   We recommended strict compliance with the provisions of Sections 272 of RA 7160, Section 4(6) of Presidential Decree (PD) No. 1445 and DECS-DBM- DILG Joint Circular of No. 01 s.1998 dated April 14, 1998 to avoid disallowance in audit.

5. The accuracy, validity, physical existence and condition of the Property, Plant and Equipment account totaling P62,359,135.38 (net of depreciation) as of December 31, 2014 could not be ascertained due to the failure of management to conduct physical inventory and the lack of property documents/records, contrary to Section 119,120 and 124 of the New Government Accounting System (NGAS) Manual.

   We reiterate our previous year's audit recommendations that:
   1. The Local Chief executive create an Inventory Committee to conduct the required physical inventory of all properties;

2. The General Services Officer prepare and submit to the auditor concerned the required Report on the Physical Count of Property, Plant and Equipment (RPCPPE) not later than January 31 of each year.

3. The Municipal Accountant and the Municipal Treasurer maintain Property Ledger Cards and;

4. The Municipal Accountant reconcile the RPCPPE with the accounting records.

6. The accuracy and reliability of Real Property Tax Receivable amounting to P3,536,055.01 at year end were doubtful due to the failure of the Municipal Treasurer to submit certified list showing the name of taxpayer and the amount due and collectible as basis for the establishment of Real Property Tax Receivable at the beginning of the year in violation of Section 20 of COA Circular 2002-003 dated June 20, 2002.

   We recommended that the Municipal Treasurer submit to the Municipal Accountant a duly certified list showing the name of taxpayers and the amount due and collectible as basis of the Municipal Accountant to draw a Journal Entry Voucher (JEV) to record the debit to Real Property Tax Receivables/Special Education Tax Receivables and crediting Deferred Real Property Tax Income/Special Education Tax Income at the beginning of the year as provided in Section 20 of COA Circular 2002-003 dated June 20, 2002 which is the Manual on the New Government Accounting System.

7. Job Order personnel hired do not perform piece work or intermittent jobs of short duration and services rendered exceeded six months, contrary to the provisions of the Revised Omnibus Rules on appointments and Other Personnel Actions and CSC Memorandum Circular No. 17, s. 2002.

   We recommended that management:

   1. Instruct all Department Heads and concerned officials that hiring of Job Order personnel should be attributed to specific projects for a period of not exceeding six months. Maximize personnel holding permanent positions to do regular, administrative and clerical functions.
   2. Require the Human Resource Management Officer to review the hiring policy under the contract of services and job orders and specify the projects that necessitates the employment of job order employees and secure approval by the Sanggunian Bayan. Review the scope of work/duties and responsibilities of the job order against plantilla position to ensure non-duplication of functions.
   3. Assess whether it is more advantageous for the Municipality to fill up vacant position with plantilla positions sourced from the JO and casual employees.
   4. Casual appointment is to be charged to Personal Services while Job Order is to be charged to MOOE.

8. Financial assistance granted to National Government Agencies, Barangays, private individuals and organizations totaling P461,000.00 were not supported with required supporting documents hence, affecting their validity and reliability in violation of Section 4 (6) of Presidential Decree PD 1445.

   We recommended the following remedial measures:

   1. All financial assistance granted should be supported and liquidated with complete supporting documents as required under Section 4 (6) of Presidential Decree PD 1445.
   2. Require the recommendation of the Municipal Social and Welfare Development Officer for financial assistance granted to private individuals.
   3. Lastly, minimize the granting of financial assistance and prioritize the implementation of developmental projects for the general welfare of the citizenry.

9. The amount and details of the unexpended balance of the LGU's Local Disaster Risk Reduction Management Fund (LDRRMF) for CY 2014 were not disclosed in the Notes to Financial Statements as required under Section 5.1.16 of COA Circular No. 2012-12 resulting to incomplete disclosure of vital information in the financial statement.

   We recommended that management reflect the unexpended balance of the LDRRMF in the Notes to Financial Statements in compliance to COA Circular No. 2012-12.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the seven (7) recommendations embodied in the previous Annual Audit Report, One (1) was partially implemented, three (3) were fully implemented and the remaining three (3) were not implemented.